

DOES REAL ESTATE INVESTMENTS IN INDIA STILL MAKE SENSE?

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Well, it definitely makes sense. Diversification in a portfolio is crucial. However, it's equally important to understand which types of real estate investments truly add value. Traditionally, investments in lands, residential properties, and commercial properties have attracted considerable interest from investors.

However, over the past few years, most of these investments have not only failed to deliver positive real returns but have also raised significant liquidity concerns for investors.

Moreover, with a noticeable shift in preference among large investors and the younger generation from physical assets to financial assets, it's essential to consider Alternative Investment Funds (AIFs) as a viable option for real estate investment. AIFs address investor concerns by offering not only the potential for higher positive real returns but also critical benefits like diversification and liquidity.

Commercial real estate has long been regarded as a stable and profitable avenue for investment, with its appeal only growing in recent years, particularly as markets worldwide recover from the effects of the pandemic. Today, the vertical offers a combination of regular yields from rent and potential appreciation when exiting the investment. For those looking to capitalise on this potential, an Alternative Investment Fund (AIF) may be the most effective way to enter this promising sector.

The appeal of commercial real estate

Commercial real estate presents a dual opportunity for investors: income and capital appreciation. Regular returns from rent payments offer steady cash flow, while the long-term value of the property can appreciate significantly upon exit, providing substantial capital gains. India's commercial real estate market is poised for considerable growth, with the

country fast becoming the office hub of the world, making it an attractive investment opportunity.

This demand is backed by the country's strong economic growth, rising corporate profits, and the availability of a talented workforce at competitive rental rates. With sub-dollar office rents in major cities like Bengaluru and Hyderabad, commercial real estate presents an opportunity to secure high-quality assets at attractive yields. Additionally, leasing demand is on the rise across various sectors, driven by the expansion of the corporate ecosystem in India.

Factors driving robust growth

There are several key factors contributing to the potential of commercial real estate in India. Firstly, the continued expansion of GCCs in the country indicates a long-term growth opportunity. These global operations have been expanding their footprint in India, driven by the country's robust talent pool and cost-effectiveness.

Secondly, infrastructure improvements and high-growth locations are playing a pivotal role in driving leasing demand. Areas with positive tailwinds, such as well-connected business districts, are seeing increased interest from tenants. When it comes to tenants, those with high credibility and a strong financial position offer long-term stability for landlords, ensuring steady cash flows from rent payments.

Why invest through AIFs?

While direct investment in commercial real estate can be highly rewarding, it also involves significant risks, including approval, construction, and leasing risks. This is where an AIF, an investment vehicle that pools capital from multiple investors to invest in a range of assets, including real estate, comes into play. These funds offer investors a more accessible and diversified way to gain exposure to the commercial real estate market.



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Investing through an AIF allows individuals to mitigate the risks associated with direct property ownership. Instead of having to manage the complexities of individual property investments, AIFs focus on acquiring high-quality commercial properties that are pre-leased to reliable tenants, reducing the risks related to construction delays, approvals, and leasing uncertainty. Further, AIFs are managed by experienced fund managers who have a deep understanding of the market and can identify opportunities in the most promising locations.

AIFs often focus on acquiring properties in high-growth locations with high leasing demand, ensuring that investors can benefit from both income and long-term capital appreciation. Additionally, AIFs are well-suited for investors seeking diversification as these funds typically invest in a portfolio of high-quality commercial assets, thereby reducing exposure to any single market or sector.

By turning bricks into potential returns, commercial real estate investments via AIFs can be an excellent addition to a well-rounded portfolio.